

Shareholder Letter

Q4 FY2025

Siemens Energy Investor Relations

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Dear shareholders,

on November 14, 2025, Christian Bruch, our CEO, and Maria Ferraro, our CFO, presented our Q4 and fiscal year 2025 (FY25) results as well as the upgraded 2028 mid-term targets.

“2025 was a successful year. We delivered sustainable growth and significantly improved profitability, increasing the company's value. For the first time in four years, we're returning to dividend payments – reflecting our confidence in the business and our commitment to shareholders. This success was hard-earned and didn't come by chance. Given our positive outlook for the energy market, we are raising our mid-term targets through 2028”, said Christian Bruch.

Siemens Energy (SE) continued excellent operational performance in the fourth quarter of FY25. For the first time, quarterly revenue exceeded the 10 billion mark and profit as well as cash flow came in strong.

Orders amounted to €14.2bn, down 2.5% on a comparable basis (excluding currency translation and portfolio effects), primarily because of the high basis of comparison at Siemens Gamesa. Book-to-bill ratio (ratio of orders to revenue) was strong at 1.36. As a result, order backlog rose to a new high of €138 billion at fiscal year-end.

Revenue was €10.4bn, an increase of 9.7% on a comparable basis, driven by Grid Technologies, which posted its highest quarterly revenue to date.

Siemens Energy's Profit before Special items was €471m (Q4 FY24: negative €83m). All segments improved compared to the prior-year quarter. **Special items amounted to negative €143m** (Q4 FY24: negative €32m). Siemens Energy's Profit was €328m (Q4 FY24: negative €115m).

Siemens Energy reported a Net income of €236m for the quarter (Q4 FY24: Net loss €254m). **Corresponding basic earnings per share (EPS) were €0.19** (Q4 FY24: negative €0.34).

Free cash flow pre tax largely followed the earnings trend and benefited from timing effects **amounting to €1,327m** (Q4 FY24: €932m).

Siemens Energy experienced a **successful development of its businesses for the whole fiscal year**. The upgraded guidance was met or exceeded across all key performance indicators.

Capital Market Day 2025



Due to the positive development, **Siemens Energy proposes a dividend for FY25 of €0.70 per share**, reflecting 50% of the group's net income attributable to shareholders of Siemens Energy AG, adjusted for extraordinary non-cash effects.

For FY26, Siemens Energy forecasts comparable revenue growth in the range of 11% to 13% and a Profit margin before Special items between 9% and 11%. Furthermore, a Net income in the range of €3bn to €4bn and a Free cash flow pre tax in the range of €4bn to €5bn are expected. **Siemens Energy's expectation is Siemens Gamesa will reach break-even in FY26.**

Due to the continued positive market outlook and Siemens Energy's structural and operational progress, **Siemens Energy upgraded its mid-term growth and profitability targets for FY28.** Siemens Energy now intends to achieve a compound annual revenue growth on a comparable basis in the low-teens percentage range until FY28 (i.e., FY25 to FY28). **For the Profit margin before Special items in fiscal year 2028, Siemens Energy strives to reach a range between 14% to 16%.**

On the following pages we provide you with some insights into our **Capital Market Day** hosted in Charlotte, NC, USA on November 20, in which our updated strategy was presented, and analysts and investors had the opportunity to meet our management in person and to visit our factory in Charlotte.

I wish you a happy holiday season.

All the best

Tobias Hang | Head of Investor Relations

Orders Q4 | FY25

€14.2bn (3)%¹ | €58.9bn +19%¹

Revenue Q4 | FY25

€10.4bn +10%¹ | €39.1bn +15%¹

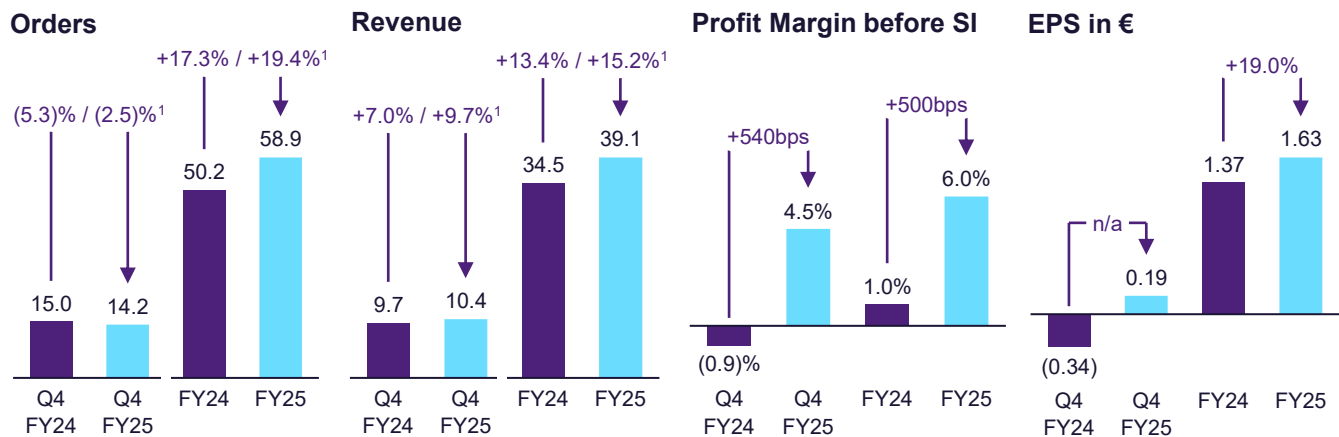
Profit before SI² Q4 | FY25

€471m n/a | €2,355m +580%¹

¹ Comparable basis: Excluding currency translation and portfolio effects | ² Special Items

Siemens Energy in Q4 FY2025 and FY2025

(in €bn, except where otherwise stated)



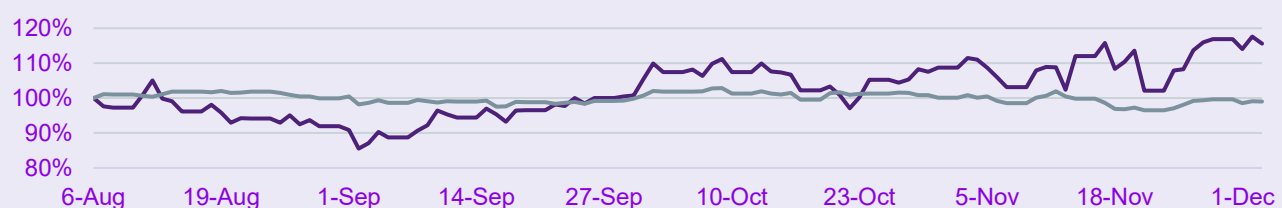
¹ xx% / xx% = nominal / comparable (excluding currency translation and portfolio effects)

Business Areas	Orders		Revenue		Profit Margin before SI	
	in million €	Change (comp.)	in million €	Change (comp.)	In percent	Margin change
Q4 FY2025						
Gas Services	4,769	+38.3%	3,094	+15.5%	8.1%	+300bps
Grid Technologies	6,880	+30.9%	3,145	+19.2%	14.7%	+450bps
Transformation of Industry	1,629	(19.6)%	1,614	+19.8%	11.0%	+420bps
Sustainable Energy Systems	306	(23.7)%	100	+128.1%	(2.8)%	+7,500bps
Electrification, Automation, Digitalization	349	+19.8%	393	(1.8)%	8.2%	(50)bps
Industrial Steam Turbines & Generators	608	+35.8%	473	+15.8%	13.8%	+420bps
Compression	412	(54.7)%	656	+25.6%	12.7%	+300bps
Siemens Gamesa	1,123	(71.5)%	2,744	(8.7)%	(11.0)%	+400bps
FY2025						
Gas Services	22,996	+42.9%	12,198	+14.2%	13.0%	+350bps
Grid Technologies	21,423	+5.1%	11,305	+25.4%	15.8%	+530bps
Transformation of Industry	6,003	(5.4)%	5,723	+13.5%	11.3%	+390bps
Sustainable Energy Systems	452	+7.1%	242	+67.4%	(21.9)%	+4,210bps
Electrification, Automation, Digitalization	1,487	+15.5%	1,424	+1.0%	9.0%	+150bps
Industrial Steam Turbines & Generators	2,092	+23.3%	1,657	+9.6%	13.7%	+340bps
Compression	2,035	(31.8)%	2,501	+22.8%	13.7%	+360bps
Siemens Gamesa	9,324	+28.9%	10,375	+4.7%	(13.1)%	+470bps

Share performance

August 6, 2025 – December 3, 2025

Siemens Energy · DAX



Siemens Energy +15.6% · DAX -1.0% · GE Vernova -9.4% · Baker Hughes +16.3% · Hitachi +17.5% · MHI -1.0%

Capital Market Day 2025

On **November 20, 2025**, Siemens Energy held its **fourth Capital Market Day (CMD)**. Around 100 analysts and investors attended the event in person and came to **Charlotte, North Carolina in the U.S.**

The evening prior to the CMD, investors and analysts could meet the management during a dinner to discuss the current market trends in the energy sector, accompanied by a **keynote speech by Governor Rick Perry**.



The CMD started with presentations by Christian Bruch (CEO) and Maria Ferraro (CFO). **Christian Bruch** presented the details of Siemens Energy's **"Elevate" strategy program**, emphasizing our guiding North Star and explaining how the company sets ambitious targets for the future. **Maria Ferraro** delivered an in-depth analysis of SE's financial performance and future capital allocation strategies. Shareholder returns will be 1/3 of the future capital allocation plan and SE will return up to €10bn to its shareholders until FY28, including a share buyback program of up to €6bn.

Following a Q&A session, **Christian Bruch led a panel discussion with Alan Duong** (Head of Data Center at Meta), **Chad Zamarin** (CEO of Williams) and **Matthew Gardner** (Vice President of Grid Infrastructure at Dominion). The discussion focused on current market trends in the energy sector, requirements for gas and grid infrastructure equipment, and the developments around data centers.

Following a short break, during which participants had the chance to exchange at information booths, **Karim Amin** (Gas Services), **Tim Holt** (Grid Technologies), **Vinod Philip** (Siemens Gamesa) and **Anne-Laure de Chammard** (Transformation of Industry) presented **current market trends** in their respective Business Areas and **strategic measures to drive profitable growth until FY28 and beyond**. Subsequently, analysts and investors were given the opportunity to discuss open topics on a range of subjects related to capacity expansions, free cash flow and the supply chain.

After the conclusion of the webcast, participants had the opportunity to visit SE's Charlotte factory. The factory is currently a generator production facility but will soon also produce large power transformers and restart production of six to eight large gas turbines annually.

You can access the recording of the **4.5 hours event** [here](#) and the **full set of presentations** (incl. relevant footnotes) [here](#).

On the following pages, we have summarized the most important content from the individual CMD presentations.



CEO and CFO presentations

FY25 was a pivotal year for Siemens Energy. **SE delivered on all its targets** in an environment marked by geopolitical uncertainty and supply chain constraints and strengthened its foundation for sustainable growth. Looking ahead, SE operates in a market undergoing a structural transformation: **electricity demand is rising faster than global GDP and is expected to grow by 50% over the next decade and double by 2050**. This surge is driven by electrification of industries, the rapid adoption of electric vehicles, and the exponential growth of data centers and artificial intelligence. Power demand for data centers alone is forecast to more than triple in the next ten years. **These trends create unprecedented opportunities for Siemens Energy, as its portfolio is positioned at the heart of this transformation** – from power generation and grid infrastructure to industrial electrification and renewable integration.

Our ambition is guided by our “North Star”, which defines the principles that shape our strategy: leading in electricity and electrification markets, driving operational excellence, expanding margins, and creating value for our shareholders. SE aspires to become the most valued energy technology company by combining innovation leadership with disciplined execution. **This means rigorously challenging cost structures, elevating customer focus, and allocating capital to businesses where we hold strong market positions.**

To translate this vision into action, Christian Bruch announced the **“Elevate program”,** which structures SE’s strategic measures around three pillars. **Firstly, building the transforming energy world** by expanding capacity and evolving SE’s portfolio to meet accelerating demand. SE is investing €6bn in capacity expansion through 2028, with the aim of increasing output for power transformers and mid- and large gas turbines by 30% to 50%.

Elevate our way to drive performance

Build the transforming energy world

- Develop production infrastructure for fast-growing business
- Evolve business portfolio
- Build the talent pool to deliver

Enhance resilience in a transforming world

- Build robust supply chains
- Optimize financial resilience
- Respond swiftly to external threats

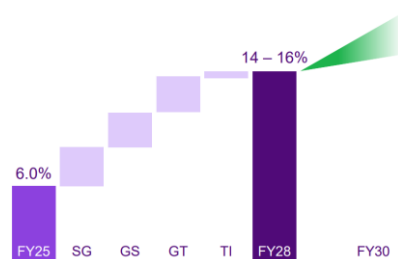
Transform the way we operate

- Continuously optimize our operating model
- Leverage data and digitalization
- Keep focus on sustainability

Secondly, enhancing resilience in a transforming world by diversifying supply chains, securing critical components, and enhancing local sourcing – in Grid Technologies more than 95% of purchase volume are already coming from local suppliers. **Thirdly, transforming the way we operate** by implementing a decentralized model, reducing bureaucracy, and embedding digitalization and AI across processes. These initiatives are already delivering results: SE has doubled output in key factories while reducing headcount intensity by 60%, and the company continues to scale innovations such as the Omnivise platform for AI-driven fleet management.

Sustained margin expansion continuously growing beyond 2028

Profit margin before SI (%)



SE’s financial outlook reflects these ambitions. We expect revenue growth in the low teens through FY28 and Profit Margins before Special Items of 14 – 16%.

SE’s financial strength allows the company to **invest in growth while still delivering attractive shareholder returns**. Over the next three years, Siemens Energy plans to allocate approximately €28bn across three priorities. Around €6bn will be invested in capacity expansion to support growth in Gas Services, Grid Technologies and Siemens Gamesa. At the same time, **we are committed to returning up to €10bn to shareholders through a combination of dividends and share buybacks**.

SE’s **dividend policy remains unchanged at 40 to 60% of net income attributable to shareholders**, ensuring a predictable and sustainable payout. In addition, SE has launched a **share buyback program of up to €6bn**, reflecting our confidence in the company’s long-term value creation. The remaining allocation is intended to serve as a **strategic reserve** to maintain a strong investment-grade credit profile and to support selective portfolio measures.

Balanced capital allocation – Up to €10 bn return to shareholders until FY28



Dividend policy

attractive

40 – 60%

Dividend for FY25: proposed €0.7

Share buyback²

up to

€6 bn until FY28

Stable execution along 3-year program

Gas Services (GS)

Gas continues to play a pivotal role in global energy systems, offering reliability and flexibility as electrification accelerates. **In FY25, GS doubled its gas turbine sales** to 194 units and reached an **all-time record order backlog of €54bn**. Additionally, GS has already secured 78 GW of customer commitments for new capacities, with 8 GW of this being secured within the first weeks of FY26.

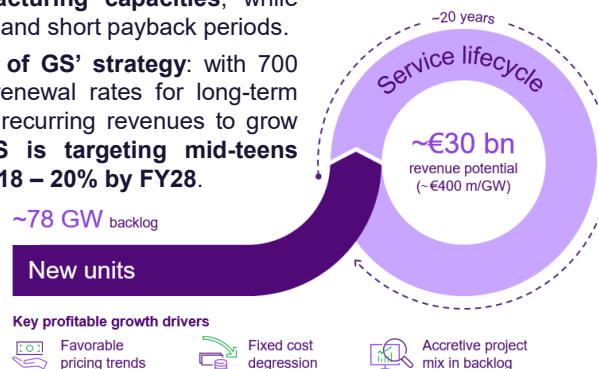
This growth engine not only generates revenue in the short term but also **creates long-term service opportunities worth €30bn** over the next 20 years. The market for gas turbines is expected to remain elevated until at least 2035, driven by government initiatives across different regions, coal-to-gas transitions and data center demand.

GS' turbine portfolio spans from small turbines to large HL-class turbines and nuclear steam turbines, ensuring GS can serve diverse applications – from industrial sites to large-scale power generation.

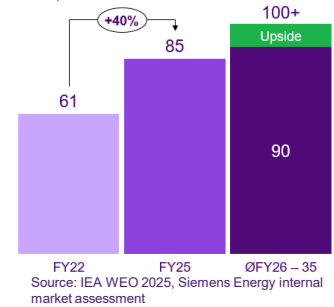
GS is investing in its manufacturing capacities, while maintaining strict capital discipline and short payback periods.

Service remains a cornerstone of GS' strategy: with 700 GW of installed fleet and 90% renewal rates for long-term service agreements, GS expects recurring revenues to grow significantly. Looking ahead, **GS is targeting mid-teens revenue growth and margins of 18 – 20% by FY28**.

Combined with strong pricing, cost optimization, and AI-driven productivity improvements, the business will continue to deliver **resilient cash flows and long-term value**.



Gas additions (combined cycle)
in GW p.a.



FY25 insights

Total
€23 bn
orders (+43% vs. FY24)
New unit (~40%)
+5 pp
backlog margin (vs. FY24)
Service (~60%)
+1 pp
backlog margin (vs. FY24)
Total
€54 bn
backlog (+€9 bn vs. FY24)

Grid Technologies (GT)

Modern grids form the basis of the energy transition, and Siemens Energy is an important piece of the puzzle with its **broad portfolio** of products, solutions and digital services, enabling recurring revenues and higher margin offerings.

GT's order backlog has quadrupled since FY21 to €42bn, reflecting strong demand for large power transformers, HVDC systems, substations, grid stabilization equipment and other products.

Over the next 15 years, **global grid investments are expected to exceed \$10tr**, driven by renewable integration, the replacement of ageing infrastructure, and surging electricity demand from electrification and AI.

Siemens Energy is uniquely positioned as a market leader with every fifth power transformer and even 30% of all HVDCs installed worldwide coming out of our factories.

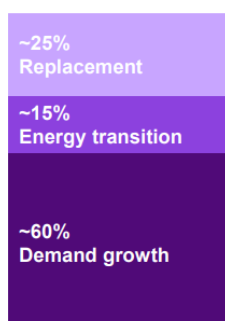
To keep this position, we are investing over €2bn to expand transformer and switchgear capacity, while leveraging automation and AI to boost productivity – effectively creating the equivalent of an additional factory through digitalization.

Innovation is central to GT's strategy with pioneering SF6-free switchgears or advanced grid stabilization technologies such as eSTATCOMs.

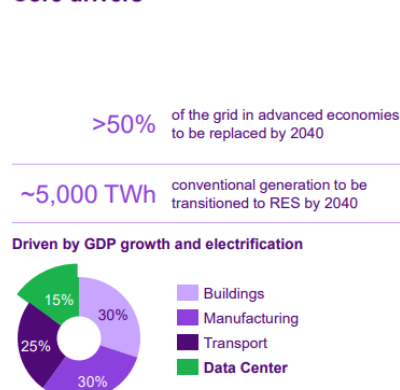
Partnerships with NVIDIA and Mitsubishi Electric accelerate the digital transformation and future-proof GT's portfolio.

With disciplined execution and a strong backlog, GT is set to deliver high-teens margins and **sustained growth**. **By FY28, Grid Technologies expects revenue growth in the high teens and profit margins of 18 – 20%.**

2025 – 2040 grid investments

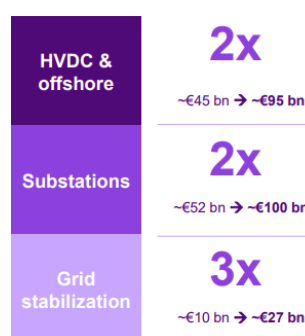


Core drivers

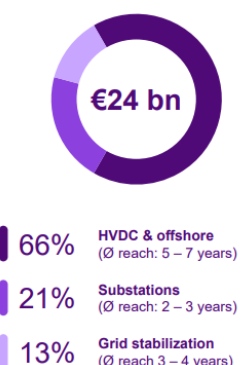


Source: Energy transition and demand growth drivers as per DNV ETO 2025; replacement drivers as per IEA Building the Future of Transmission Grid 2025; grid investment shares as per SE internal assessment

Market volumes FY22 – 24 → FY28 – 30



Solutions order backlog



Note: Market numbers based on Siemens Energy internal market assessment; backlog as per Q4 FY25

Siemens Gamesa (SG)

The turnaround of SE's wind business is progressing as planned. In FY25, SG stabilized onshore operations, resolved quality issues, and streamlined the portfolio from eleven wind turbine platforms to four.

In Onshore, SG resumed market activity with sales of the SG 5.0 and SG 7.0 turbines in Germany and Spain, while repowering projects in the United States and Europe are gaining traction.

Offshore remains SG's stronghold, with 67% market share and a secured pipeline of more than 22 GW for the SG 14/15 platform.

Operational excellence is key: SG has **ramped up nacelle production in Cuxhaven** from 100 units in 2023 to 300 in 2025, with further increases planned for 2026. **Installation rates are also accelerating,** with 500 offshore turbines planned annually in the coming years

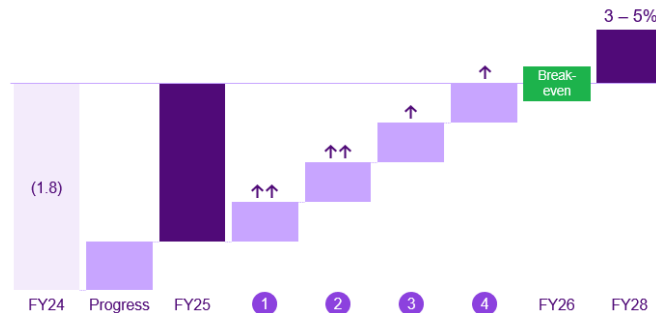
Service improvements complement this progress, with availability gains of 3 percentage points and aftermarket growth of 30% year-over-year.

SG's focus remains on profitability and selectivity rather than market share.

SG aims to achieve break even in FY26 and reach 3 – 5% margins by FY28, supported by increased profitability in the Offshore business, operational excellence, the turnaround in Onshore as well as significant potential in service and aftermarket, leveraging SG's 150 GW installed base.

Main building blocks and progress made

Profit before SI in € bn

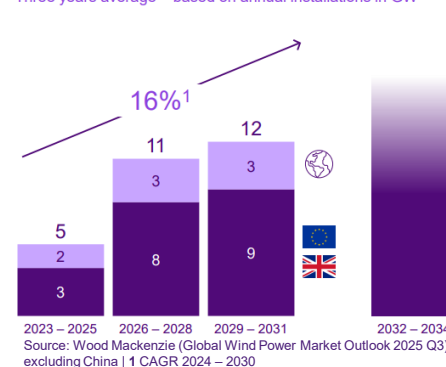


Key levers

- Offshore profitability**
 - SG 14/15 cost out
 - Project execution excellence
- Operational excellence**
 - Factory productivity
 - Reduction of NCCs
- Onshore turnaround**
 - Structure cost reduction
 - Streamlined product portfolio
- Service profitability**
 - Field productivity
 - Aftermarket growth

Offshore market outlook

Three years average – based on annual installations in GW



Transformation of Industry (TI)

TI has achieved a remarkable turnaround, with margins improving by over 1,300 basis points since FY21 to above 11% in FY25.

With a diversified portfolio serving energy-intensive industries, TI is driving growth in electrification, digital services, and hydrogen solutions. TI's **installed base of 85,000 units provides a powerful service engine, generating revenues at least twice the original asset value over its lifecycle.**

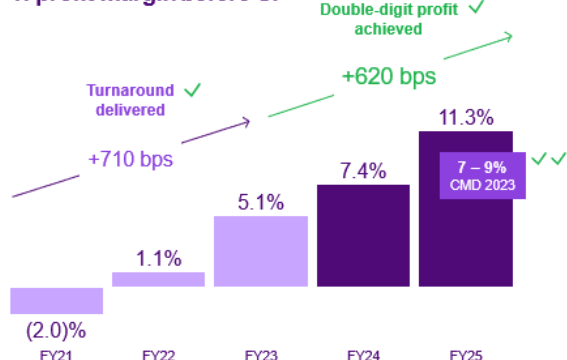
TI is capitalizing on major trends: including energy efficiency, electrification of industrial processes, and hydrogen adoption. The business's product portfolio includes compressors, steam turbines, generators, electrolyzers, and digital solutions for asset performance and energy management.

TI aims to quadruple orders in data center solutions and triple digital service orders within three years. Looking to the end of the decade, hydrogen might provide additional upside potential, with 1 GW of electrolyzer projects already in execution and the target to reduce production costs by 40% by 2030.

Service growth is TI's biggest profit driver as TI will expand modernization and upgrade programs, which offer payback periods of less than two years and efficiency gains of up to 5%.

Combined with disciplined execution and light capex, **TI targets mid- to high-single-digit revenue growth and margins of 12 – 14% by FY28.**

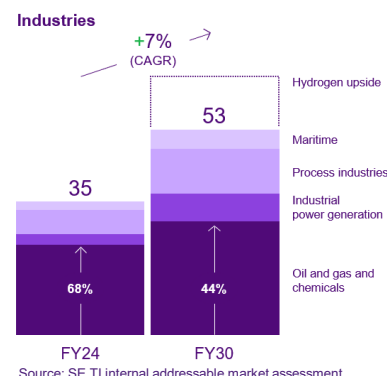
TI profit margin before SI



Key market trends

- Energy affordability**
 - +80% industrial energy efficiency investment by 2030
- Energy security**
 - +3x LNG capacity by 2030
- Electrification**
 - +45% global electricity demand by 2035
- Power surge through AI**
 - +3x data center power demand by 2035

Our market (€ bn)



Financial outlook FY26 and FY28 targets

	FY26 Outlook		FY28 Targets	
	Revenue growth ¹	Profit Margin before SI ²	Revenue growth ³	Profit Margin before SI ²
Gas Services	16 – 18%	14 – 16%	Mid-teens (prev. LSD/MSD)	18 – 20% (prev. 12 – 14%)
Grid Technologies	19 – 21%	16 – 18%	High-teens (prev. LDD)	18 – 20% (prev. 13 – 15%)
Transformation of Industry	5 – 7%	11 – 13%	MSD/HSD (prev. HSD)	12 – 14% (prev. 10 – 12%)
Siemens Gamesa	1 – 3%	break-even	MSD (prev. LSD/MSD)	3 – 5% (unchanged)
Siemens Energy	11 – 13%	9 – 11%	Low-teens (prev. HSD/LDD)	14 – 16% (prev. 10 – 12%)
Net Income	€3 – 4bn			
Free cash flow pre tax ⁴	€4 – 5bn			

This outlook excludes charges related to legal and regulatory matters.

¹ Comparable revenue growth: Excluding currency translation and portfolio effects | ² Profit margin before SI in % of revenue with profit as earnings before financial result, income taxes, amortization expenses related to intangible assets acquired in business combinations, and goodwill impairments | ³ Compound annual revenue growth rate (FY25-based) | ⁴ Free cash flow pre tax as operating cash flow less purchase of intangibles assets and property, plant and equipment and less Income taxes paid

Financial Calendar

Feb. 11, 2026	1 st quarter FY26
Feb. 26, 2026	AGM
May 12, 2026	2 nd quarter FY26
Aug. 5, 2026	3 rd quarter FY26
Nov. 12, 2026	4 th quarter FY26

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